

this moment is that dissatisfaction persists despite repeated reform attempts—from eliminating ratings to adopting peer- or skills-based models. Deloitte's data points to an execution gap: just 26% of organisations say their managers are effective at enabling team performance, and fewer than half of employees clearly understand what is expected of them.

The issue, then, is no longer whether performance management should exist, but whether organisations are prepared to reset systems that no longer reflect how work happens.

CHALLENGED BY COLLABORATION

Traditional performance systems—particularly bell-curve-driven models—were built for a more predictable era when fixed roles, stable teams, linear career paths, and annual planning cycles shaped how performance was assessed and rewarded.

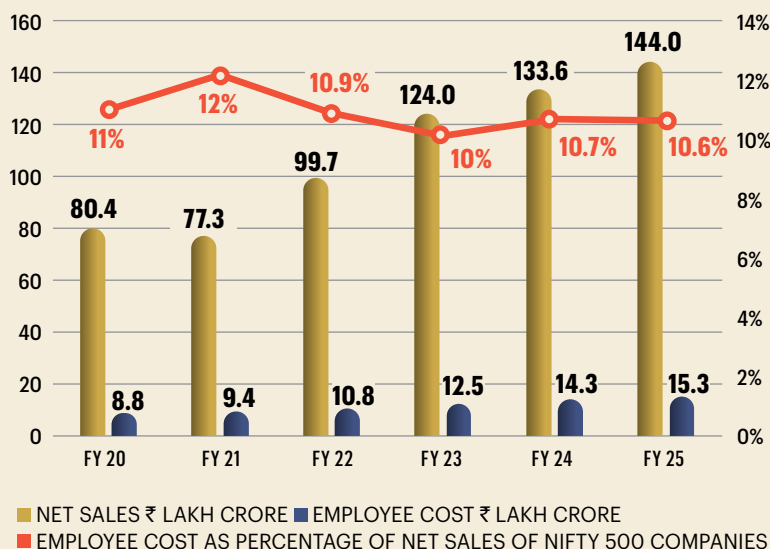
“That context has steadily eroded,” says Arpit Shelat, HR Director at Genesys India. “The bell curve was designed to optimise control and cost management, not growth and development. Today's work is cross-functional and interdependent, and success depends far more on collaboration and knowledge-sharing.”

In such environments, forced ranking often creates misaligned incentives. When employees compete for a limited number of high ratings, visibility tends to outweigh impact, and compliance is rewarded over experimentation. The outcome, Shelat notes, is not just skewed assessment but weakened psychological safety—an environment where people become cautious about sharing ideas, taking risks, or enabling others.

Performance, then, needs to be evaluated through evidence-based outcomes rather than relative positioning. Progress should be sup-

MANPOWER CONCERNS

• The bell curve method of evaluation has kept hiring costs low for companies



NOTE DATA FOR 476 COMPANIES FROM NIFTY 500 INDEX

SOURCE ACE EQUITY

AS COLLABORATION, SPEED & REINVENTION RESHAPE WORK, LEADERS ARE QUESTIONING IF RANKING EMPLOYEES AGAINST ONE ANOTHER SERVES ANY REAL PURPOSE

ported by documented records, trackers, and proof points, which together form the backbone of a continuous evaluation cycle. This approach, says Shelat, improves consistency and reduces dependence on recall or perception at year-end.

ENABLING PERFORMANCE

As collaboration, speed, and reinvention reshape work, leaders are increasingly questioning whether ranking employees against one another still serves any real purpose.

Shelat likens bell-curve evaluations to “using yesterday's map to navigate tomorrow's city.” While relative ranking may indicate who performed better than whom, he argues it fails to capture what organisations now need most—value creation, future capability, and alignment with shifting business priorities.

More critically, Shelat points to the psychological toll of forced ranking, which discourages risk-taking and experimentation, particularly when systems are not designed to support learning from